# Kraken Robotics Inc.

## Poised for Strong FY26 Ahead of Acquisition

| PNG (TSXV) | STOCK RATING | TARGET | EST. TOTAL RETURN |
|---|---|---|---|
| **C$8.68** | **Outperform** (Unchanged) | **C$13.00** (Unchanged) | **49.8%** |

## Light Q4'25 But Outlook Appears Well-Supported

This morning, Kraken reported in-line Q4'25 results after pre-releasing headline numbers in early March, where revenue was $28.4 mln (NBCM: $29.5 mln, Cons.: nmf) and Adj. EBITDA was $9.5 mln (NBCM: $9.7 mln, Cons.: nmf) (Figure 1). Recall that pre-released results (on March 3) missed expectations meaningfully at the time – for context, Kraken's prior FY25 guidance implied Q4 revenue of ~$53.7 mln and $14.6 mln (at the midpoints), where Management cited delayed KATFISH orders as the main driver of the light Q4. **That said, the FY26 outlook (Figure 2) remains strong alongside good visibility *(see below)*, with Covelya still on track to close here in Q2.**

**Figure 1: Results vs. Expectations**

| ($mln) | PNG Reported | NBCM Estimate | Beat (Miss) NBCM | NBCM Impact | *Consensus Estimate* | *Beat (Miss) Consensus* |
|---|---|---|---|---|---|---|
| **Revenue** | **$28.4** | **$29.5** | -$1.1 | In-Line | *nmf* | *nmf* |
| **Adj. EBITDA** | **$9.5** | **$9.7** | -$0.2 | In-Line | *nmf* | *nmf* |

*Source: NBCM Research, Company Reports, LSEG*

***Consensus estimates for Q4 hadn't completely adjusted for pre-release and were thus not material.*

In our view, these were the **key takeaways** from the release:

- **Confidence in FY26 Guide:** After FY25 saw the Company miss its first annual guidance in five years, there appears to be strong support for the FY26 guide of ~$170 mln in revenue (at the midpoint), as **Kraken has now announced ~$87 mln in Product orders YTD, while it expects ~$50 mln from its more steady Services business this year.** Combined, that already represents **~80%** of the guide through just 3.5 months of the year with lots of time (and opportunities) to build on that momentum.
- **Battery Pipeline Growing, Diversifying Efforts Tracking:** Kraken's battery pipeline appears quite strong; over the last six months, the Company noted it's won several customers with XLUUV development efforts (to add to its core customer in Anduril), a large U.S. defense customer, along with (AUV manufacturer) companies that were previously trying to manufacture the battery in-house. **This speaks directly to the Company's leadership in the AUV battery space and the very high barriers to entry serving to protect that position.**

All in, the Q4 release served to reinforce our confidence around Kraken's growth outlook, both in the near term and further out (alongside Covelya), while also helping to ease concerns around a soft Q4'25. Maintain Outperform.

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### STOCK DATA

| | |
|---|---|
| 52-Week High and Low ($) | 10.72-2.15 |
| Dividend per Share ($) | 0.00 |
| Dividend Yield (%) | 0.0 |
| Shares Outstanding (Mln) | 353.9 |
| Shares Outstanding - FD (Mln) | 359.6 |
| Market Capitalization ($Mln) | 3,121.4 |
| Net Debt ($Mln) | (484.2) |
| Enterprise Value ($Mln) | 2,637.1 |

### NBCCM ESTIMATES & VALUATION

| Fiscal Y/E December | 2024A | 2025A | 2026E |
|---|---|---|---|
| Revenue ($Mln) | 91.3 | 102.2 | 167.3 |
| Adj. EBITDA ($Mln) | 20.7 | 25.0 | 44.3 |
| EPS - Diluted ($) | 0.09 | 0.03 | 0.07 |
| CFO ($Mln) | (12) | 1 | 25 |
| Free Cash Flow ($Mln) | (16.7) | (28.8) | 8.1 |
| EV/Sales (x) | 28.9 | 25.8 | 15.8 |
| EV/EBITDA (x) | 127.3 | 105.6 | 59.5 |
| P/E (x) | 100.0 | 892.9 | 170.1 |

All figures in C$ unless otherwise noted

NBCM, Company Reports, LSEG

### STOCK PERFORMANCE *(Source: FactSet)*




### COMPANY PROFILE

Kraken Robotics Inc. is a marine technology company providing complex subsea sensors, batteries, and robotic systems. The Company's high-resolution three-dimensional (3D) acoustic imaging solutions and services enable clients to overcome the challenges in oceans.

**Figure 2: FY26 Guidance vs. Prior Estimates**

| ($mln) | PNG Guidance | *Prior Guidance* | NBCM Prior Estimate | NBCM Impact | *Consensus Estimate* |
|---|---|---|---|---|---|
| **Revenue** | **$165 - 175** | *$165 - 175* | **$167.9** | In-Line | *$169.4* |
| **Adj. EBITDA** | **$40 - 50** | *$40 - 50* | **$42.2** | In-Line | ***$55.5* |

*Source: NBCM Research, Company Reports, LSEG*

***Some analysts have included H2'26 Covelya estimates in their forecasts, which has pulled some consensus figures higher*

**Figure 3: Key Financials & Metrics – Results & Trailing 4 Quarters**

| Key Financials & Metrics | Q4'25A | Q3'25A | Q2'25A | Q1'25A | Q4'24A | Commentary |
|---|---|---|---|---|---|---|
| **Revenue (mln)** | **28.4** | 31.3 | 26.4 | 16.1 | 28.1 | Light Q4 with revenue growth flat Y/Y (-9% Q/Q) due to timing delays in KATFISH orders; FY26 points to growth bounce-back |
| **Revenue growth Y/Y (%)** | **1%** | 60% | 16% | -23% | 0% | |
| **Product revenue (mln)** | **17.8** | 18.3 | 16.5 | 9.2 | 18.8 | Product revenue was led by battery and SAS standalone units, while Services growth stemmed from 3D at Depth contribution |
| **Service revenue (mln)** | **10.6** | 13.0 | 9.8 | 7.0 | 9.3 | |
| **Gross margin (%)** | **70.4%** | 59.4% | 55.9% | 62.7% | 48.0% | Gross margin was up significantly both Y/Y and Q/Q due to strong Services-heavy revenue mix and lower-than-expected project costs |
| **Adj. EBITDA (mln)** | **9.5** | 8.0 | 4.7 | 2.8 | 7.0 | Adj. EBITDA saw margins grow meaningfully given revenue mix and gross margin strength |
| **Adj. EBITDA margin (%)** | **33.5%** | 25.5% | 17.7% | 17.3% | 25.0% | |
| **Free cash flow (mln)** | **-2.4** | -18.9 | -7.8 | 0.3 | -4.2 | FCF was down modestly Y/Y; CapEx intensity comes down materially in FY26 given Halifax plant launch behind Company |
| **Free cash flow margin (%)** | **-8%** | -60% | -30% | 2% | -15% | |
| **Cash (mln)** | **120.5** | 126.6 | 32.9 | 59.3 | 58.5 | We estimate that following the Covelya acquisition close, Kraken will have ~$115 mln in cash and $120 mln in debt |
| **Debt (mln)** | **22.7** | 22.9 | 22.3 | 16.7 | 15.0 | |

*Source: NBCM Research, Company Reports*

**Figure 4: NBCM Estimates & Revisions**

| | Revenue (mln) | | | | Adj. EBITDA (mln) | | | |
|---|---|---|---|---|---|---|---|---|
| **Period** | **Current** | **Previous** | **Δ $** | **Δ %** | **Current** | **Previous** | **Δ $** | **Δ %** |
| **Q4'25A (Reported)** | **$28.4** | $29.5 | *-$1.1* | *-3.7%* | **$9.5** | $9.7 | *-$0.1* | *-1.4%* |
| **Q1'26E** | **$22.4** | $27.3 | *-$4.9* | *-18.1%* | **$2.8** | $5.8 | *-$3.0* | *-52.1%* |
| **F2025A (Reported)** | **$102.2** | $103.3 | *-$1.1* | *-1.1%* | **$25.0** | $25.1 | *-$0.1* | *-0.5%* |
| **F2026E** | **$167.3** | $167.9 | *-$0.5* | *-0.3%* | **$44.3** | $42.2 | *$2.1* | *5.1%* |

*Source: NBCM Research, Company Reports*

***These are Kraken (standalone) forecasts and do not include Covelya; we will move to officially include our Covelya forecasts when the acquisition closes*

## Other Q4'25 Takeaways

**Battery Manufacturing Capacity Ramping to Meet Increasing Demand:** As noted upfront, the battery demand picture continues to look very bright, which, of course, led Kraken to significantly upsize its battery capacity with the recently launched Halifax battery facility. Management noted the facility is up and running and will start increasing production steadily throughout the year. The Halifax facility is supposed to take Kraken's total capacity up to ~$200 mln, while the Company believes it can unlock (additional) capacity beyond that when including recent additions to its Germany plant, along with adding a second shift to Halifax, as demand scales. **Kraken is also in active discussions with its battery customers south of the border and regional personnel in order to ultimately increase its U.S. (battery) manufacturing presence, as well**; though no timelines were provided as to when that could materialize. Near term, there isn't likely a need for manufacturing capacity beyond the current $200+ mln; **however, given the size of the potential pipeline, we wouldn't be surprised if that becomes a more pressing issue sometime in 2027.**

**Sonar Demand Builds Across RFP, Non-RFP Channels:** The call was particularly constructive on the sonar side, where **Management described a much larger set of KATFISH / tow-fish programs either in the RFP stage or moving toward RFP in the market today vs. the prior five to six years, with final selections expected over the next two to three years.** That longer-cycle backdrop is now being supplemented by shorter-cycle, non-RFP demand, as current geopolitical tensions are driving urgent mine countermeasure (MCM) requirements and incremental inbound interest across several regions. Kraken communicated confidence it can convert some of that speedier, non-RFP channel demand into (KATFISH) sales over the next six to 12 months. **On Kraken's standalone SAS solutions (which are integrated into customer AUVs), the Company pointed to a strong FY25 and Q4'25 alongside strengthening demand tied to broad AUV adoption; highlighting that strength, Kraken saw FY25 (standalone) SAS revenue up 60% Y/Y and its unit sales nearly matched the total units delivered in the prior two years combined**. Kraken also communicated that, alongside its 2025 capital raise, it was able to build out its sonar inventory, which positions the Company favourably against peers in meeting more 'urgent' demand as it arises.

**Services Growth Looks Durable into FY26:** Services revenue grew 62% Y/Y to $40.5 mln in FY25, helped by the 3D at Depth acquisition and better utilization across Kraken's equipment fleet; 3D at Depth contributed ~$18.2 mln of revenue across the three quarters post-acquisition. More importantly, Management's commentary suggests the segment still has room to expand, supported by a full-year contribution from LiDAR services, healthy shorter-lead-time activity, and a constructive offshore energy backdrop spanning deepwater work, cable assessments and offshore wind. **Management framed the Services business at roughly a ~$50 mln revenue level before incremental wins, which should provide Kraken with steadier growth and margin foundation than it's had historically.**

**Product Innovation Expands the Addressable Opportunity:** Kraken highlighted several products that should widen its reach across vehicle classes and mission sets. **Atop that list is the Company's new large / XLUUV battery design, which offers ~30% better energy density than the prior version**, while Kraken also referenced a compact battery format for smaller and medium-sized AUVs, a smaller-vessel LARS for USVs, and a dual-frequency circular SAS payload. These innovations demonstrate that the Company is not simply resting on its market-leading products to drive growth but is also broadening the set of platforms and missions it can address.

**Valuation Multiple De-Risked Post-Covelya:** While Kraken (standalone) is currently trading at **~15.8x EV/Sales** and **59.5x EV/EBITDA** on our modestly revised FY26 forecasts, those multiples compress meaningfully when adding Covelya to the mix. As we noted in our March acquisition note (see *Kraken the Acquisition Code; Upgrading to Outperform*), the transaction is set to meaningfully de-risk Kraken's valuation multiple. **On our back-of-the-envelope math using conservative Covelya 2026 growth rates (i.e., 15% revenue and Adj. EBITDA growth) we see the combined entity generating pro forma 2026 revenue of ~$470 mln with nearly $120 mln in Adj. EBITDA, which would move Kraken's FY26 valuation multiples to 6.9x EV/Sales and 27.4x EV/EBITDA; that's on ~28% revenue growth and ~33% Adj. EBITDA growth.** When looking at a group of 20+ defense contractor peers (which are not directly comparable given Kraken's size, growth trajectory and focus on marine technology, in particular), they are trading at median multiples of ~3.1x EV/Sales and 18.8x EV/EBITDA, though on consensus revenue and Adj. EBITDA growth of 7% and 13%, respectively (Figure 5). Thus, given Kraken's growth prospects across both the near term and longer term at a significantly larger scale (post-Covelya), we believe Kraken's valuation is more than reasonable.

## Poised for Strong FY26 Ahead of Acquisition

We continue to see Kraken's innovative product set along with industry tailwinds continuing to drive demand across all of its businesses – subsea power, SAS sensors and platforms, and commercial services – while its pending acquisition of Covelya is set to triple its scale alongside a far more diversified revenue mix, product set and customer base. We are maintaining our Outperform rating and price target of $13.00. Our DCF-based target implies an EV/Sales valuation of 10.3x (was 10.2x) on our pro forma FY26 (back-of-the-envelope) consolidated forecasts (which include Covelya).

**Figure 5: Comps Table: Global Defense Contractor Peers**

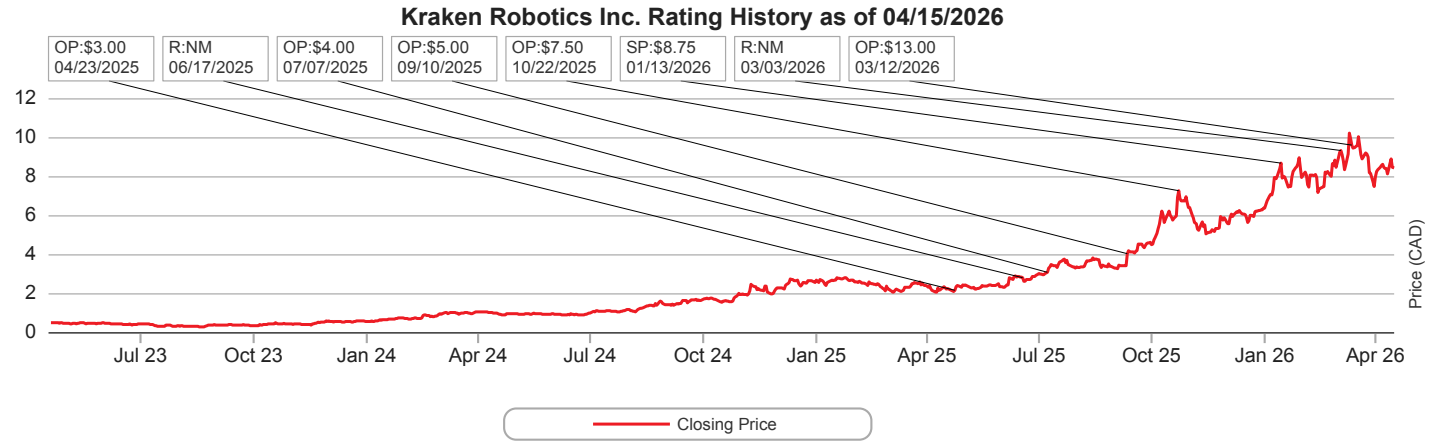
| Company | Ticker | NBF Rating | Price | Market Cap (mln) | Net Debt (mln) | EV (mln) | Revenue Growth (%) | | EV/Sales | | EV/EBITDA | | EBITDA Growth (%) | | EBITDA Margin (%) | | EV/Sales Growth | EV/EBITDA Growth |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | CY2025A | CY2026E | CY2025A | CY2026E | CY2025A | CY2026E | CY2025E | CY2026E | CY2025A | CY2026E | CY2026E | CY2026E |
| *Kraken Robotics Inc | PNG | OP | C$8.68 | 3,121 | -484 | 2,637 | 12% | 64% | 25.8x | 15.8x | 105.6x | 59.5x | 21% | 77% | 24% | 26% | 0.25 | 0.77 |
| **Kraken Robotics Inc | PNG | OP | C$8.68 | 3,208 | 8 | 3,216 | 20% | 28% | 8.8x | 6.9x | 36.3x | 27.4x | 25% | 33% | 24% | 25% | 0.24 | 0.84 |
| **Global Defence Contractors** | | | | | | | | | | | | | | | | | | |
| Boeing Co | BA | NR | $218.88 | 175,974 | 24,698 | 200,672 | 34% | 9% | 2.2x | 2.1x | nmf | 41.4x | nmf | nmf | -4% | 5% | 0.23 | nmf |
| Lockheed Martin Corp | LMT | NR | $607.49 | 140,835 | 17,579 | 158,414 | 6% | 6% | 2.1x | 2.0x | 13.9x | 14.0x | 10% | -1% | 15% | 14% | 0.36 | nmf |
| General Dynamics Corp | GD | NR | $334.92 | 91,784 | 6,072 | 97,856 | 10% | 4% | 1.9x | 1.8x | 15.6x | 14.7x | 11% | 6% | 12% | 12% | 0.42 | 2.39 |
| General Electric Co | GE | NR | $298.29 | 328,003 | 8,102 | 336,105 | 18% | 5% | 7.3x | 7.0x | 37.1x | 29.2x | 30% | 27% | 20% | 24% | 1.34 | 1.09 |
| Northrop Grumman Corp | NOC | NR | $672.77 | 96,382 | 11,293 | 107,675 | 2% | 5% | 2.6x | 2.5x | 17.3x | 17.3x | 9% | 0% | 15% | 14% | 0.53 | nmf |
| Huntington Ingalls Industries Inc | HII | NR | $396.17 | 15,677 | 1,926 | 17,603 | 8% | 4% | 1.4x | 1.4x | 18.7x | 16.9x | 16% | 11% | 8% | 8% | 0.36 | 1.56 |
| Textron Inc | TXT | NR | $90.27 | 15,754 | 1,853 | 17,607 | 8% | 5% | 1.2x | 1.1x | 12.6x | 9.4x | 10% | 33% | 9% | 12% | 0.24 | 0.28 |
| Bombardier Inc | BBDb | NR | C$260.33 | 18,982 | 3,337 | 22,319 | 10% | 6% | 2.3x | 2.2x | 14.0x | 13.3x | 15% | 5% | 17% | 16% | 0.35 | 2.82 |
| Fincantieri SpA | FCT | NR | €13.67 | 4,940 | 1,883 | 6,823 | 13% | 1% | 0.7x | 0.7x | 10.0x | 9.8x | 33% | 3% | 7% | 8% | 0.77 | 3.69 |
| Boeing Co | BA | NR | $218.88 | 175,974 | 24,698 | 200,672 | 34% | 9% | 2.2x | 2.1x | nmf | 41.4x | nmf | nmf | -4% | 5% | 0.23 | nmf |
| Thales SA | TCFP | NR | €267.40 | 55,440 | 1,537 | 56,977 | 8% | 7% | 2.6x | 2.4x | 17.2x | 15.0x | 11% | 15% | 15% | 16% | 0.34 | 1.03 |
| Rheinmetall AG | RHMG | NR | €1,497.20 | 70,544 | -410 | 70,134 | 29% | 47% | 7.1x | 4.8x | 34.1x | 21.3x | 29% | 60% | 21% | 23% | 0.10 | 0.35 |
| BAE Systems PLC | BAES | NR | £2,216.50 | 67,661 | 5,337 | 72,998 | 8% | 17% | 2.6x | 2.2x | 18.9x | 15.7x | 9% | 21% | 14% | 14% | 0.13 | 0.75 |
| RTX Corp | RTX | NR | $195.85 | 267,028 | 30,469 | 297,497 | 10% | 5% | 3.4x | 3.2x | 19.0x | 18.9x | 11% | 0% | 18% | 17% | 0.58 | nmf |
| L3Harris Technologies Inc | LHX | NR | $353.41 | 66,481 | 10,047 | 76,528 | 3% | 7% | 3.5x | 3.3x | 18.0x | 17.4x | 17% | 4% | 19% | 19% | 0.45 | 4.89 |
| Leonardo DRS Inc | DRS | NR | $44.94 | 12,312 | -300 | 12,012 | 13% | 7% | 3.3x | 3.1x | 27.1x | 23.2x | 13% | 17% | 12% | 13% | 0.43 | 1.38 |
| BWX Technologies Inc | BWXT | NR | $230.80 | 21,842 | 1,516 | 23,358 | 18% | 18% | 7.3x | 6.2x | 53.9x | 35.5x | 5% | 52% | 14% | 17% | 0.34 | 0.69 |
| Mda Space Ltd | MDA | NR | C$48.49 | 6,549 | 259 | 6,808 | 51% | 11% | 4.2x | 3.8x | 21.6x | 19.5x | 60% | 11% | 19% | 19% | 0.34 | 1.83 |
| AeroVironment Inc | AVAV | NR | $201.99 | 10,041 | -11 | 10,030 | 105% | 29% | 6.2x | 4.8x | 48.3x | 30.5x | 102% | 58% | 13% | 16% | 0.16 | 0.53 |
| Kratos Defense and Security Solutions Inc | KTOS | NR | $74.41 | 13,986 | -461 | 13,525 | 19% | 24% | 10.0x | 8.1x | 180.8x | nmf | 2% | 116% | 6% | 10% | 0.34 | nmf |
| Rocket Lab Corp | RKLB | NR | $82.93 | 42,536 | -847 | 41,688 | 38% | 46% | 69.3x | 47.6x | nmf | nmf | nmf | nmf | -31% | -4% | 1.04 | nmf |
| Teledyne Technologies Inc | TDY | NR | $635.76 | 29,401 | 2,123 | 31,524 | 8% | 4% | 5.2x | 4.9x | 21.2x | 19.7x | 10% | 7% | 24% | 25% | 1.10 | 2.66 |
| Exail Technologies SA | EXA | NR | €132.20 | 2,240 | 221 | 2,461 | 28% | 22% | 5.1x | 4.2x | 30.0x | 18.8x | 24% | 59% | 17% | 22% | 0.20 | 0.32 |
| ***Group Average*** | | | | ***75,233*** | ***6,562*** | ***81,795*** | ***21%*** | ***13%*** | ***6.7x*** | ***5.3x*** | ***31.5x*** | ***21.1x*** | ***21%*** | ***25%*** | ***11%*** | ***14%*** | ***0.45*** | ***1.64*** |
| ***Group Median*** | | | | ***42,536*** | ***1,926*** | ***41,688*** | ***13%*** | ***7%*** | ***3.3x*** | ***3.1x*** | ***19.0x*** | ***18.8x*** | ***12%*** | ***13%*** | ***14%*** | ***14%*** | ***0.35*** | ***1.24*** |

*Source: NBCM Research, Company Reports, LSEG*

**Reflects our existing Kraken forecasts; **Reflects our back-of-the-envelope pro-forma annualized FY26 estimates including Covelya*

## Disclosures

**PRICE, RATING AND TARGET HISTORY:I = Initiation, OP = Outperform, SP = Sector Perform, UP = Underperform, UR = Under Review, R = Restricted; T = Tender (Source: Factset, NBCM)**




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**Growth Risk.** If the Company fails to manage its growth effectively, its business and operating results could be adversely affected. The Company expects to continue to grow its operations domestically and internationally, and to hire additional employees. Any growth in its operations and staff will place a significant strain on its management systems and resources. If the Company fails to manage its future anticipated growth, it may experience higher operating expenses and may be unable to meet the expectations of investors with respect to future operating results.

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Kraken Robotics Inc. 2, 3, 4, 7

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|---|---|---|---|
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